VANTERA
INDUSTRIAL GROUP

MANAGEMENT REPORT

Ahead on revenue, behind on plan

2025

REPORTING PERIOD
1 January – 31 December 2025

REPORTING ENTITY
Vantera Industrial Group AG, Graz

PRESENTATION CURRENCY
Euro (€), compact notation

STATUS
Unaudited management accounts

Contents

NOTATION

AC · PY actual solid black, prior year solid grey

PL · FC budget hollow, forecast hatched

Deviation green favourable, red unfavourable

Bars · pins absolute values, relative values

Unaudited management accounts of Vantera Industrial Group AG, Graz, for the twelve months ended 31 December 2025, prepared by Group Controlling. **AC** actual · **PY** prior year (FY 2024 actual) · **PL** budget (FY 2025 board-approved) · **FC** forecast (November 2025 rolling forecast for FY 2026). Amounts are in euro and shown compactly; the source pack is kept in thousands of euro. No budgeted balance sheet is maintained, so the statement of financial position and the cash flow are shown against prior year only.

Financial highlights

Group key figures FY 2025 · amounts in euro, compact notation

	AC 2025	PY 2024	ΔPY	ΔPY %	PL 2025	ΔPL	ΔPL %
Revenue	412.3M	373.5M	+38.8M	*+10.4*	410.5M	+1.8M	*+0.4*
Gross profit	145.2M	135.8M	+9.4M	*+6.9*	151.9M	-6.7M	*-4.4*
EBITDA	87.7M	82.9M	+4.8M	*+5.8*	93.3M	-5.6M	*-6.0*
EBIT	60.3M	57.8M	+2.5M	*+4.3*	66.5M	-6.2M	*-9.3*
Profit for the period	40.7M	39.7M	+1M	*+2.5*	45.5M	-4.8M	*-10.5*
Free cash flow	8.6M	28.2M	-19.6M	*-69.5*	24M	-15.4M	*-64.2*
Order intake	438.6M	381.2M	+57.4M	*+15.1*	420M	+18.6M	*+4.4*

Every figure above is one where more is better, so the polarity of the whole table is a single sign. Capital expenditure and net debt are excluded for that reason and appear on pages 8 and 9.

Vantera grew revenue **10.4% to €412.3 million** and finished the year **€1.8 million ahead of budget** on the top line, with Thermal Solutions (+11.7%) and Industrial Services (+14.7%) growing fastest. On every line below revenue the picture reverses. **EBIT of €60.3 million was €6.2 million (9.3%) short of the €66.5 million budget**, and the **EBIT margin fell to 14.6%** from 15.5% in 2024 against a plan of 16.2%. The group sold more than it promised and earned less than it promised on what it sold.

The cash statement is where that shows up hardest: **free cash flow of €8.6 million** is a third of last year's €28.2 million and barely a third of the €24.0 million planned. The cause is working capital, not earnings — see page 9.

GROSS MARGIN	EBIT MARGIN	EQUITY RATIO	NET DEBT / EBITDA	CASH CONVERSION
35.2%	**14.6%**	**47.1%**	**1.08×**	**137.5 d**
PY 36.4% · PL 37.0%	PY 15.5% · PL 16.2%	PY 45.0%	PY 1.06×	PY 118.4 d

Cash conversion cycle = days inventory outstanding + days sales outstanding − days payables outstanding. Ratios carry mixed polarity and are therefore shown without deviation colour.

Results of operations

Consolidated income statement FY 2025 · amounts in euro · actual against prior year and budget

	PY	PL	AC	ΔPY	ΔPL
▼ Revenue	373.5M	410.5M	412.3M	+38.8M	+1.8M
Drive Systems	198.4M	220M	214.8M	+16.4M	-5.2M
Thermal Solutions	108.9M	118.5M	121.6M	+12.7M	+3.1M
Industrial Services	66.2M	72M	75.9M	+9.7M	+3.9M
▼ – Cost of goods sold	237.7M	258.6M	267.1M	+29.4M	+8.5M
– Raw materials and consumables	146.7M	161.9M	168.9M	+22.2M	+7M
– Direct labour	58.9M	62.7M	63.4M	+4.5M	+700K
– Manufacturing overhead	32.1M	34M	34.8M	+2.7M	+800K
= **Gross profit**	**135.8M**	**151.9M**	**145.2M**	**+9.4M**	**-6.7M**
– Research and development	21.8M	24M	24.6M	+2.8M	+600K
– Selling and distribution	38.9M	41.8M	41.2M	+2.3M	-600K
– Administrative expenses	18.6M	20.1M	.9.4M	+800K	-700K
Other operating income	5.4M	5M	6.2M	+800K	+1.2M
– Other operating expenses	4.1M	4.5M	5.9M	+1.8M	+1.4M
= **EBIT**	**57.8M**	**66.5M**	**60.3M**	**+2.5M**	**-6.2M**
Financial income	700K	800K	1.1M	+400K	+300K
– Financial expenses	5.2M	6.2M	6.8M	+1.6M	+600K
= **Profit before tax**	**53.3M**	**61.1M**	**54.6M**	**+1.3M**	**-6.5M**
– Income tax expense	13.6M	15.6M	13.9M	+300K	-1.7M
= **Profit for the period**	**39.7M**	**45.5M**	**40.7M**	**+1M**	**-4.8M**

Costs, tax and financial expenses carry higher-is-better = false, so an overrun is red whichever way the number moves. Deviations are shown in absolute amounts here; the relative deviations for the key lines are on page 3.

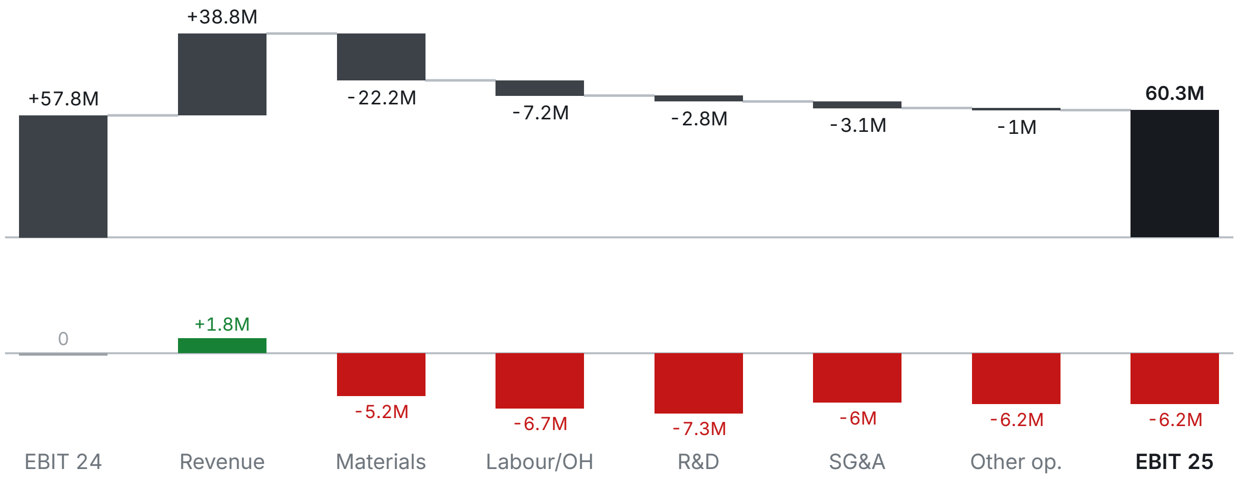
Raw materials are the whole story of the year. They cost **€168.9 million against a budget of €161.9 million — €7.0 million more** — on revenue only €1.8 million above plan, and they rose to **41.0% of revenue from 39.3%** in 2024. That single line is larger than the entire €6.2 million EBIT shortfall. Direct labour (+€0.7 million) and manufacturing overhead (+ €0.8 million) added to it, taking cost of goods sold €8.5 million past budget.

Operating expenses were held: selling and distribution came in €0.6 million and administration €0.7 million below budget, and research and development ran €0.6 million over at 6.0% of revenue. Net of other operating items, opex was **€0.5 million favourable** — the cost base below gross profit was managed to plan. The gross margin was not.

Earnings bridge and plan variance

EBIT 2024 to EBIT 2025, group · amounts in euro · variance panel: actual bridge against the budgeted bridge

From EBIT 2024 to EBIT 2025, group, actual against budget

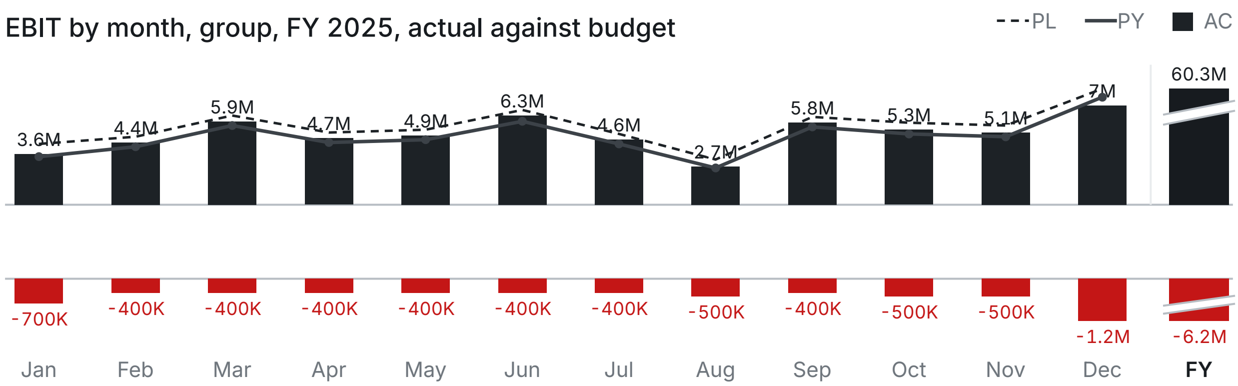


Upper panel: what actually moved EBIT between 2024 and 2025. Lower panel: each running level against the same step as budgeted, so a bar shows where the plan was won or lost. Labour/OH is direct labour and manufacturing overhead; SG&A is selling, distribution and administrative expenses; Other op. is other operating income net of other operating expenses.

EBIT grew €2.5 million and lost €6.2 million against budget in the same twelve months. Revenue contributed €38.8 million of gross growth, €1.8 million more than budgeted. Materials took €22.2 million of it straight back against the **€15.2 million increase the budget allowed — an overrun of €7.0 million** — and from that step onward the actual bridge never regains its planned level. Labour and overhead added a further €1.5 million of unplanned cost and research and development €0.6 million; only selling and administration ran better than plan, recovering €1.3 million of the gap.

EBIT by month against budget

EBIT by month, group, FY 2025, actual against budget

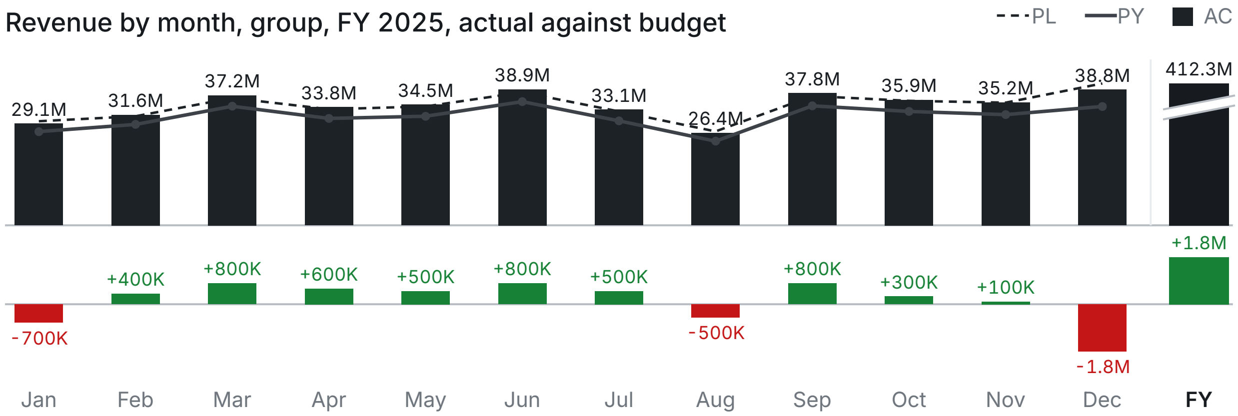


The shortfall is a run rate, not an event. EBIT was below budget in all twelve months of 2025 — the deviation panel has no green bar in it. December was the worst single month at €1.2 million below plan and, at €7.0 million, below the €7.6 million of December 2024. The gap is there from January and never narrows, which reads as a cost level rather than an event.

Revenue by month and market

Group revenue FY 2025 · amounts in euro · monthly actual against budget, prior year as reference

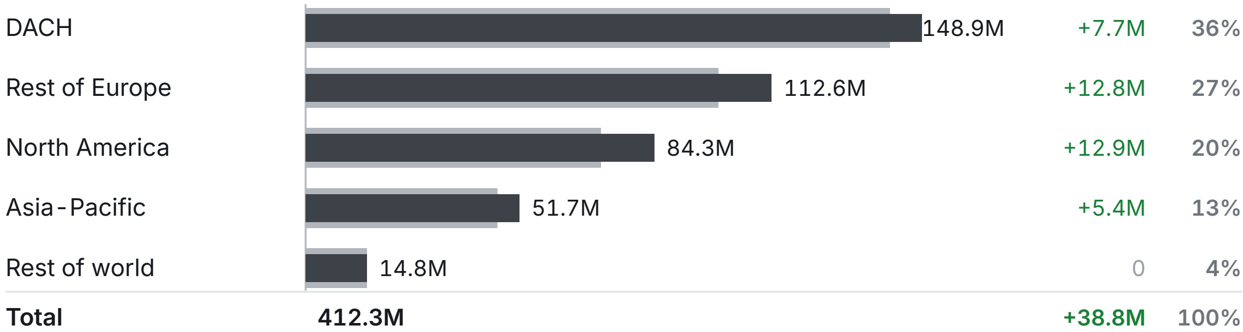
Revenue by month, group, FY 2025, actual against budget



Revenue tracked its budget month by month and then missed December. Eleven of twelve months came in within €0.8 million of plan, and the August trough is seasonal — it appears in 2024 in the same shape. By the end of November the group stood €3.6 million ahead of plan for the year. December then delivered €38.8 million against a plan of €40.6 million: a **€1.8 million miss that halved that surplus in a single month** and is why the year closed only €1.8 million above budget.

Revenue by customer region

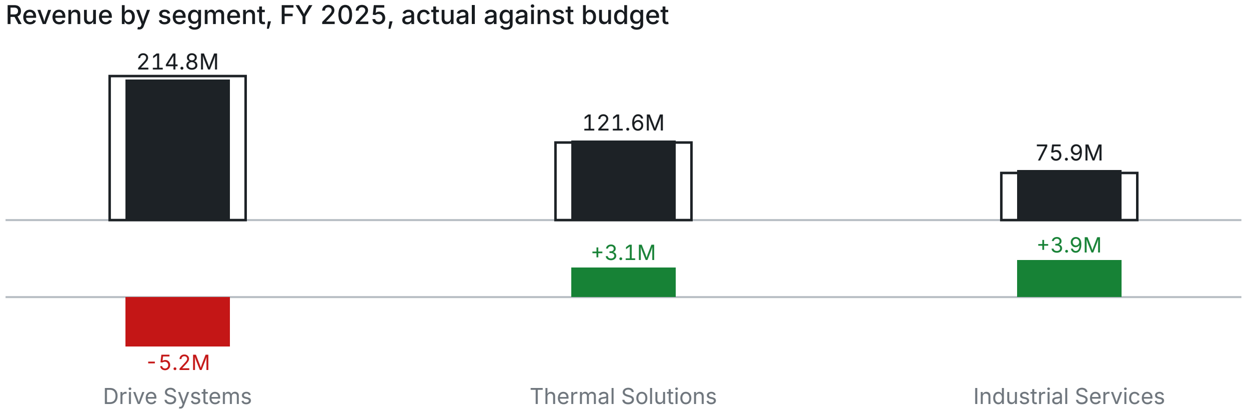
Revenue by customer region, group, FY 2025 against 2024



Growth came from outside the home market. North America grew 18.1% and Rest of Europe 12.8%, while DACH — still 36.1% of the group — grew 5.5%. Rest of world was flat at €14.8 million. The mix shift matters for the margin discussion on page 4: the two fastest-growing regions are the ones served from the imported-material cost base.

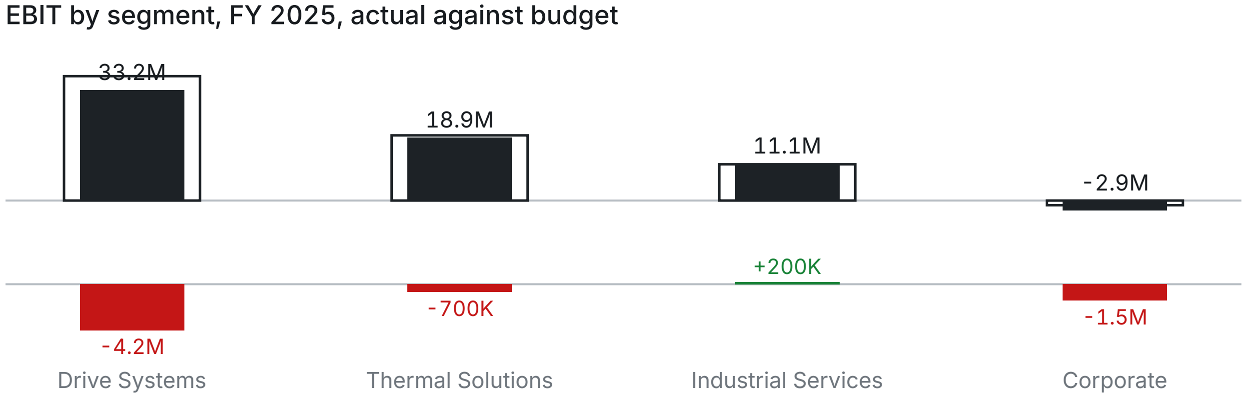
Segment performance

Revenue and EBIT by operating segment FY 2025 · amounts in euro · actual against budget



Actual solid, budget as a hollow frame, prior year faded behind; the panel beneath is the deviation from budget. Both charts on this page use the same notation, so the revenue and earnings misses can be read against each other.

One segment carries the entire revenue miss. Drive Systems delivered €214.8 million against a €220.0 million budget — **€5.2 million short** — while Thermal Solutions beat plan by €3.1 million and Industrial Services by €3.9 million. Group revenue is above plan only because the two smaller segments covered the largest one.



The same segment carries most of the earnings miss, and corporate costs carry the rest. Drive Systems earned €33.2 million against €37.4 million planned (−€4.2 million) at a **15.5% margin against a 17.0% plan**; Thermal Solutions missed by €0.7 million and Industrial Services beat plan by €0.2 million. Unallocated corporate costs of €2.9 million ran €1.5 million over budget and more than four times the €0.7 million of 2024 — the two together are €5.7 million of the €6.2 million group shortfall.

Financial position

Consolidated statement of financial position at 31 December 2025 · amounts in euro · actual against prior year

	PY	AC	ΔPY
▼ Non-current assets	202.1M	211.3M	+9.2M
Intangible assets and goodwill	46.9M	48.6M	+1.7M
Property, plant and equipment	124.8M	132.4M	+7.6M
Right-of-use assets	19.7M	18.9M	-800K
Deferred tax and other non-current	10.7M	11.4M	+700K
▼ Current assets	200.9M	224.7M	+23.8M
Inventories	78.4M	96.7M	+18.3M
Trade receivables	61.3M	71.8M	+10.5M
Contract and other current assets	19.6M	22M	+2.4M
Cash and cash equivalents	41.6M	34.2M	-7.4M
= **Total assets**	**403M**	**436M**	**+33M**
▼ Total equity	181.2M	205.2M	+24M
Share capital	40M	40M	0
Capital and other reserves	25.4M	23.7M	-1.7M
Retained earnings	112.6M	137.9M	+25.3M
Non-controlling interests	3.2M	3.6M	+400K
▼ Non-current liabilities	131.1M	136.6M	+5.5M
Financial debt and lease liabilities	99.4M	102.6M	+3.2M
Pension provisions	20.4M	21.7M	+1.3M
Deferred tax and other provisions	11.3M	12.3M	+1M
▼ Current liabilities	90.7M	94.2M	+3.5M
Financial debt and lease liabilities	29.7M	26.6M	-3.1M
Trade payables	40.3M	42.6M	+2.3M
Contract and other current liabilities	20.7M	25M	+4.3M
= **Total equity and liabilities**	**403M**	**436M**	**+33M**

Liabilities and the two working-capital assets carry higher-is-better = false, so an increase reads unfavourable. Lease liabilities are shown with financial debt. Deviations are absolute; the relative movements that matter are given in the commentary below. The balance sheet foots at €436.0 million, and no budgeted balance sheet is prepared, so no plan column is shown.

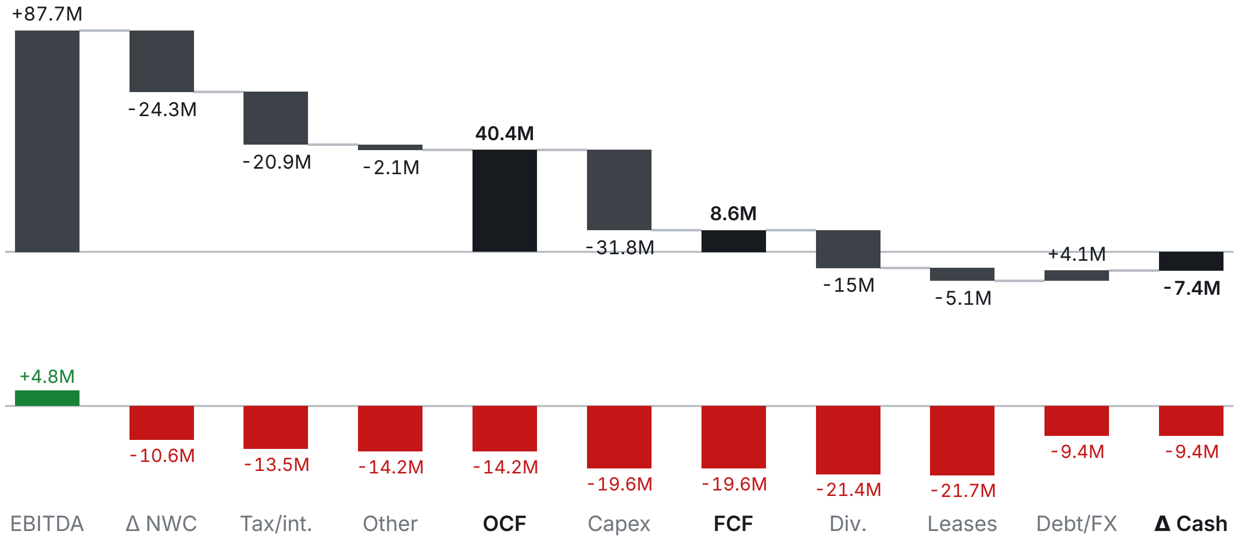
The balance sheet grew faster than the business. Total assets rose 8.2% to €436.0 million while revenue grew 10.4% — but the growth is concentrated in working capital: **inventories up €18.3 million (23.3%)** and trade receivables up €10.5 million (17.1%), against trade payables up only €2.3 million. Net working capital reached €127.0 million from €97.6 million, a **30.1% increase on 10.4% more revenue**.

In days: inventory 132.1 (2024: 120.4), receivables 63.6 (59.9), payables 58.2 (61.9) — a cash conversion cycle of **137.5 days against 118.4**. Financing nonetheless held: equity rose €24.0 million and the **equity ratio improved to 47.1%** from 45.0%, with net debt at €95.0 million (1.08× EBITDA) and cash down €7.4 million to €34.2 million.

Cash flow and liquidity

Consolidated cash flow FY 2025 · amounts in euro · actual bridge with the prior-year bridge as reference

From EBITDA to the change in cash, group, FY 2025 against 2024



Lower panel: each running cash level against the same level in 2024. Δ NWC change in net working capital · Tax/int. income taxes and net interest paid · OCF net cash from operating activities · FCF free cash flow · Div. dividends paid · Debt/FX net new borrowing together with other financing and translation effects · Δ Cash net change in cash.

Earnings were not the problem; working capital was. EBITDA rose €4.8 million to €87.7 million and tax and interest together took only €2.9 million more than in 2024 — yet **operating cash flow fell €14.2 million to €40.4 million**. The single cause is the change in net working capital, which absorbed **€24.3 million against €8.9 million in 2024**: a €15.4 million swing that is larger than the entire decline in operating cash flow.

Capital expenditure of €31.8 million was €5.4 million above 2024 and €2.3 million above the €29.5 million budget, at 7.7% of revenue. **Free cash flow of €8.6 million therefore covered 57% of the €15.0 million dividend**, against 214% cover in 2024, and the balance was met from €4.1 million of net new borrowing and a €7.4 million draw on cash. Net debt rose to €95.0 million. At 1.08× EBITDA leverage remains comfortable, but a second year at this working capital intensity would not be self-financing.

Outlook 2026

November 2025 rolling forecast against FY 2025 actual · amounts in euro

	AC 2025	FC 2026	Δ vs 2025	Δ %
Revenue	412.3M	449.5M	+37.2M	+9.0
Gross profit	145.2M	164.1M	+18.9M	+13.0
EBITDA	87.7M	101.7M	+14M	+16.0
EBIT	60.3M	72.6M	+12.3M	+20.4
Profit for the period	40.7M	50.2M	+9.5M	+23.3

The forecast asks for the margin the 2025 budget asked for and did not get. It carries revenue up 9.0% to €449.5 million and EBIT up 20.4% to €72.6 million — an **EBIT margin of 16.2%, which is the 2025 budget margin the group missed by 1.6 points**. Gross margin is forecast at 36.5% against 35.2% delivered. None of the €7.0 million materials overrun is assumed to persist. That assumption, not the volume, is the forecast's exposure.

Order book and operating indicators

Order intake	**€438.6M**	2024: €381.2M · budget €420.0M · +15.1% on 2024
Order backlog at 31 December	**€196.4M**	2024: €170.1M · +15.5%
Book-to-bill	**1.06×**	2024: 1.02×
Employees (FTE, average)	**2,486**	2024: 2,391 · budget 2,450 · +4.0%
Research and development	**€24.6M**	6.0% of revenue (2024: 5.8%)
Capital expenditure	**€31.8M**	7.7% of revenue (2024: 7.1%)

Source: operating key figures, FY 2025 management pack. Amounts converted from the thousands of euro of the source pack into millions, as everywhere else in this report.

The volume side of the forecast is supported. Order intake of €438.6 million exceeded revenue for the year — a book-to-bill of 1.06× — and 4.4% more than budgeted, leaving a backlog of €196.4 million, 15.5% above a year earlier. The backlog alone covers 44% of forecast 2026 revenue. **The margin side is not supported by anything in this pack**: no price action, procurement measure or mix change is quantified in the FY 2025 accounts, and the board should ask what specifically bridges the 1.3 points of gross margin the forecast assumes back.

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Prepared by Group Controlling from the FY 2025 management pack. **Unaudited management accounts** for the twelve months ended 31 December 2025; the statutory audit is performed by Steiermark Wirtschaftsprüfung GmbH, Graz. All figures in this report trace to that pack — no external source has been used.